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Case Number: 21STCP00625 Hearing Date: September 22, 2026 Dept: 508

Superior

Court of California

County

of Los Angeles

Department 508

KENNETH WENGROD, Trustee

of THE MANHATTAN TRUST, derivatively,

on behalf of LILY BLEU, INC.,

Plaintiff,

vs.

MICHAEL WEISS, et

al.,

Defendants.

Case No.:

21STCP00625

Hearing Date:

September 22, 2026

Hearing

Time: 10:00 a.m.

[TENTATIVE]

ORDER RE:

PLAINTIFF

KENNETH WENGROD, TRUSTEE OF THE MANHATTAN TRUS , DERIVATIVELY, ON BEHALF OF
LILY BLEU, INC.'S MOTION TO TAX COSTS

Background

On February 25, 2021, Plaintiff Kenneth Wengrod, Trustee of
The Manhattan Trust, derivatively on behalf of Lily Bleu, Inc. ("Plaintiff") filed
this action against Defendants Michael Weiss and Barbara Clark
Cambilargiu, and Nominal Defendant Lily Bleu, Inc. ("Lily Bleu").

On December 26, 2023, Plaintiff
filed the operative Third Amended Verified Derivative Complaint ("TAC") against
Defendants Michael Weiss, Barbara Clark Cambilargiu, Miriam Weiss,
Carl Cambilargiu, Jessica Weiss Sonnabend, Jenna Cambilargiu, Good Day Gardena
Properties, LLC, and Nominal Defendant Lily Bleu. The TAC alleges six causes of
action for (1) breach of fiduciary duty, (2) corporate waste, (3) unjust
enrichment, (4) fraud (concealment), (5) fraud (misrepresentation), and (6)
negligent misrepresentation.

On May 23, 2024, a "Judgment [wa]s
entered in this matter in favor of Defendants Good Day Gardena Properties LLC,
Carl Cambilargiu, Miriam Weiss, Jenna Cambilargiu, and Jessica Weiss Sonnabend,
and against Plaintiff." (Judgment 5/23/24, 1:15-16.)

Thereafter, on September 29, 2025, a
Court trial commenced in this matter. (Judgment 3/13/26, 1:2.) On October 20,
2025, Plaintiff rested his case, and Defendants Michael Weiss and Barbara C.
Cambilargiu (jointly, "Defendants") moved for judgment pursuant to Code of Civil Procedure Section 631.8. (Id. at 1:4-6.) The
Court granted Defendants' motion
on March 13, 2026. (Id. at 1:6-7.) The
Court's Judgment states, inter alia, as follows: "Judgment is entered in
favor of Defendants Michael Weiss, Barbara Clark Cambilargiu, against

Plaintiff; Plaintiff shall recover nothing from Defendants Michael Weiss and Barbara Clark Cambilargiu.” (Id. at 1:10-13.) The Court’s March 13, 2026 Statement of Decision also stated that “Plaintiff failed to prove each element of Plaintiff’s causes of action,” and granted “Director Defendants’ Motion for Judgment.” (Statement of Decision, 9:19-20.)

On March 27, 2026, Defendants filed their memorandum of costs, totaling \$107,981.74.

Plaintiff now moves to tax or strike costs. Defendants oppose. Plaintiff replied.

Request for Judicial Notice

The Court grants Plaintiff’s request for judicial notice of Exhibits A and B.

Evidentiary Objections

The Court rules on Defendants’ evidentiary objections as follows:

Objection Nos. 1, 2: sustained

Legal Standard

Pursuant to Code of Civil

Procedure section 1032, subdivision (b), “[e]xcept as otherwise expressly provided by statute, a prevailing party is entitled as a matter of right to recover costs in any action or proceeding.” “‘Prevailing party’ includes the party with a net monetary recovery, a defendant in whose favor a dismissal is entered, a defendant where neither plaintiff nor defendant obtains any relief, and a defendant as against those plaintiffs who do not recover any relief against that defendant.” (Code Civ. Proc. § 1032, subd. (a)(4).)

Costs recoverable under section 1032 are restricted to those that are both reasonable in amount and reasonably necessary to the conduct of the litigation.

(Code Civ. Proc., § 1033.5, subds. (c)(2)-(3).) Costs

“merely convenient or beneficial” to the preparation of a case are disallowed.

(Code Civ. Proc., § 1033.5, subd. (c)(2); see *Ladas v. California State Auto. Assn.* (1993) 19 Cal.App.4th 761, 774 (*Ladas*) [expenses for attorney meals incurred while attending local depositions not “reasonably necessary”].)

"A 'verified memorandum of costs is prima facie evidence of [the] propriety' of the items listed on it, and the burden is on the party challenging these costs to demonstrate that they were not reasonable or necessary." (Adams v. Ford Motor Co. (2011) 199 Cal.App.4th 1475, 1486.) "If the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary. On the other hand, if the items are properly objected to, they are put in issue and the burden of proof is on the party claiming them as costs." (Ladas, supra, 19 Cal.App.4th at p. 774.) Costs otherwise allowable as a matter of right may be disallowed if the court determines they were not reasonably necessary, and the court has power to reduce the amount of any cost item to an amount that is reasonable. (See Perko's Enterprises, Inc. v. RRNS Enterprises (1992) 4 Cal.App.4th 238, 245 [finding that "the intent and effect of section 1033.5, subdivision (c)(2) is to authorize a trial court to disallow recovery of costs, including filing fees, when it determines the costs were incurred unnecessarily"].)

Discussion

Defendants' memorandum of costs seeks \$107,981.74 in total costs, comprising \$13,900.55 in filing and motion fees, \$6,423.54 in deposition costs, \$970.10 for service of process, \$5,028.60 for court-ordered transcripts, \$662.38 for Court reporter fees as established by statute, and \$80,996.57 in "other" costs. Defendants label their "other" costs as "Expert Fees per CCP Section 998; Parking/Travel Reimbursement; Remote Appearance Fees." (Memo of Costs, p. 1, ¶ 15.)

A.

The

Judgment Does Not Preclude Defendants from Obtaining Costs

First, Plaintiff moves to strike Defendants' costs in their entirety, asserting that "the judgment entered by this Court does not award costs. Defendants' proposed judgment included a provision awarding costs to Defendants." (Mot., 3:24-25; see also Wengrod Decl., ¶ 3, Ex. A.) Plaintiff includes the Judgment as an exhibit, which demonstrates that the Court crossed out paragraph three of the Judgment. The crossed-out provision states, "Defendants Michael Weiss, Barbara Clark Cambilargiu, and Lily Bleu, Inc. are prevailing parties against Plaintiff, and

are therefore entitled to recover their costs in the amount of

\$ _____, per their Memorandum of Costs and the Court's ruling on

their Motion for Attorneys' Fees." (Judgment 3/13/26, 1:14-17.) Plaintiff uses

this to assert that "the Court did not adopt that provision. Instead, the Court

affirmatively struck the entire cost paragraph before signing the judgment. (Id.) The judgment as entered therefore contains no

award of costs... This was not an omission. The Court reviewed and modified the proposed judgment and deliberately removed the cost provision." (Mot., 4:1-8.)

Plaintiff also asserts that

"[t]he March 13, 2026 Minute Order confirms only that judgment was entered in favor of Defendants; it does not award costs." (Mot., 4:3-6; see also Wengrod

Decl., ¶ 4, Ex. B.) The Court's Minute Order states in full: "The Court hereby

issues its tentative Statement of Decision as follows: Plaintiff failed to

prove each element of Plaintiff's causes of action. Thus, Director Defendants'

Motion for Judgment is granted, and the Court will enter judgment in their

favor. The Court dismisses the complaint as to any remaining Doe Defendants

with prejudice. The Statement of Decision is signed and filed this date and

incorporated herein by reference. The Judgment is signed and filed this date

and incorporated herein by reference." (Minute Order 3/13/26.)

Plaintiff further asserts

that "[w]hile Code of Civil Procedure section 1032 provides that a prevailing

party may recover costs 'as a matter of right,' that entitlement operates

within the framework of a valid judgment and applicable procedural rules. (CCP § 1032(b).) Here, the Court had the opportunity

to include a cost award in the judgment and declined to do so. Defendants

cannot use a post-judgment memorandum to obtain relief the Court did not grant.

The Court did not overlook a cost award-it affirmatively removed it. Defendants

cannot restore that relief through a post-judgment filing. This is not a

dispute over the amount of costs-it is a failure of entitlement." (Mot.,

4:13-23.)

Defendants respond by contending

that "Plaintiff's central argument is that the Court should strike Defendants'

Memorandum of Costs because the reference to Defendants' entitlement to costs

was stricken from the judgment entered on March 13, 2026. However, striking the

reference to inputting the amount of Defendants' costs from the judgment is not the equivalent of a

ruling on Defendants' entitlement to costs." (Opp., 1:26-2:1.) Defendants cite *Nelson v. Anderson* (1999) 72 Cal.App.4th 111, 129, where the court expressed

that "the prevailing party is entitled to all of his costs unless another

statute provides otherwise,” and “[a]bsent such statutory authority, the court has no discretion to deny costs to the prevailing party.” Defendants contend that “the issue of Defendants’ entitlement to costs was never raised prior to entry of judgment. Plaintiff’s argument that the Court unilaterally ruled on the issue, without any notice or opportunity to be heard by Defendants, is not supported by the record. Per the authorities cited above, Defendants are entitled to costs as a matter of right, and the Court has no discretion to completely deny costs to the prevailing party. Thus, Plaintiff’s request that Defendants’ Memorandum of Costs should be stricken from the record should be denied.” (Opp., 2:12-17.)

Without statutory authority, the Court cannot strike Defendants’ claimed costs because they are the prevailing party to this action. In reply, Plaintiff does not provide statutory support that allows for denying Defendants’ fee request. Rather, Plaintiff’s reply papers explain that “Plaintiff does not renew in reply the threshold arguments addressed in Sections III, VI, and IX of the moving papers — that the March 12, 2026 judgment forecloses any cost award...” (Reply, 2:4-5.) Notwithstanding, the Court’s decision to cross out paragraph three of the proposed Judgment did not affirmatively represent that Defendants could not obtain costs. The proposed Judgment included a line to write in the specific amount for Defendants’ cost award, but the Court could not be aware of Defendants’ costs until a memorandum of costs was filed, and either the statutory deadline to oppose passed or Defendants prevailed on a motion to strike costs. Accordingly, the Court does not strike the costs based on the Judgment and Minute Order.

B.

Defendants

Demonstrate That They Incurred Most of the Claimed Costs

Next, Plaintiff contends that Defendants lack standing to recover their costs because “[f]inancial records produced in this action show that Lily Bleu, Inc. paid substantial litigation-related expenses, totaling well over \$900,000.” (Mot., 5:19-20.) Plaintiff also asserts that “Defendants seek to recover from Plaintiff costs that were already paid by the corporation. This creates an impermissible double recovery: first, payment of defense costs by the corporation; and second, an attempt to recover those same amounts from Plaintiff. A cost memorandum is not a mechanism to reimburse corporate expenditures to individual defendants who did not incur them.” (Mot., 6:8-13.) Further, Plaintiff asserts that “Corporate advancement of defense costs in a

derivative action is governed by Corporations Code section 317 and requires, among other things, a written undertaking to repay and proper authorization. (Wengrod Deel., ¶ 9.) No such showing has been made. Amounts advanced remain subject to repayment and cannot be transformed into recoverable costs against the derivative plaintiff." (Mot., 6:15-20.) Additionally, Plaintiff contends that "[i]n a derivative action, an award of costs against the plaintiff requires a finding that the action was brought without reasonable cause. (Corp. Code, § 800(d).) No such finding was made here. To the contrary, the record reflects that the action involved substantial allegations concerning corporate management and valuation and was litigated through trial." (Mot., 10:21-26.)

Plaintiff also contends

that "[e]ven if any costs were recoverable: jury fees are not recoverable in a bench trial; filing fees are unsubstantiated; and deposition costs lack necessity." (Mot., 10:4-5.) Plaintiff asserts that "[w]here distinct categories of costs are combined without allocation, and where some of those categories are not recoverable as a matter of law, the entire item must be taxed in the absence of a verified breakdown." (Mot., 10:15-18.) However, as noted above, "[a] 'verified memorandum of costs is prima facie evidence of [the] propriety' of the items listed on it, and the burden is on the party challenging these costs to demonstrate that they were not reasonable or necessary." (Adams v. Ford Motor Co., supra, 199 Cal.App.4th at p. 1486.) Defendants' memorandum of costs is verified. Thus, Plaintiff's assertion that lacking a verified breakdown requiring striking the costs in full is without merit.

In opposition, Defendants

assert that "Plaintiff contends—without any evidentiary support—that Lily Bleu, Inc. paid Defendants' costs in this action, and therefore Defendants are not entitled to recover costs. Not only has Plaintiff failed to provide any evidence to support his claim, his argument is not supported by any legal authority." (Opp., 2:20-22.) Defendants first cite Code of Civil Procedure section 1033.5, subdivision (c)(1), which states that costs "are allowable if incurred, whether or not paid." Defendants explain that "[f]or instance, attorneys' fees, which are considered costs, are recoverable by a party if they did not pay or incur an obligation to pay for their representation." (Opp., 2:24-25; see Moran v. Oso Valley Greenbelt Assn. (2004) 117

Cal.App.4th 1029, 1036 [“Modern jurisprudence does not require a litigant seeking an attorney fee award to have actually incurred the fees.”].)

Defendants further assert that “Plaintiff cites no legal authority to the contrary. Thus, even if Lily Bleu, Inc. paid Defendants’ costs in this action, they are still entitled to an award of costs, and Plaintiff’s motion should be denied.” (Opp., 3:8-9.)

Defendants also contend

that “Plaintiff’s reliance on Corp. Code § 800 is

misplaced.” (Opp., 6:15-16.) Moreover, Defendants assert that “[g]enerally, Corp. Code § 800(d) sets forth a corporate officer’s

rights to file a motion to require that the plaintiff in a derivative action

post a bond, from which the defendant could seek to recover costs and fees in

the event the defendant prevails in the derivative suit. However, Defendants’

right to recover costs is not limited by Corp. Code §

800(d). A similar argument was made by a plaintiff who lost a derivative

suit in *Barrios v. Chraghchian* (2026) 117 Cal.App.5th 1276, and

the court rejected it.” (Opp., 6:17-22; see *Barrios v. Chraghchian*, supra, 117 Cal.App.5th at p. 1282 [“section 17709.02 is a special

purpose procedural statute that does not create any exception to more

generally applicable rules.... The more generally applicable rules that govern

here are § 1032 and Rule 8.891—the ordinary costs

rules.”].) Defendants assert that “section

800(d) is not an exclusive mechanism for a prevailing defendant in a

derivative suit to recover fees and costs. Thus, Defendants have a right to

costs under the generally applicable rule set forth in Code

of Civil Procedure § 1032.” (Opp., 7:1-3.)

Defendants further

assert that “all the costs detailed in Memorandum of costs are specifically

allowed under statute... Plaintiff has not provided any examples, evidence or

argument that any of the costs Defendants seek are, in any way, impermissible

under statute.” (Opp., 8:10-18.) Moreover, Defendants assert that “Plaintiff

contends that Defendants are not entitled to seek costs for jury fees, but none

are referenced in the Memorandum of Costs. Likewise, Plaintiff contends that

nominal defendant Lily Bleu, Inc. is not entitled to seek costs, but cites no

authority as to why. Lily Bleu, Inc. was a defendant in the action and should

be considered as a prevailing party. Per § 1032 of the

Code of Civil Procedure, ‘a defendant where neither plaintiff nor defendant

obtains any relief’ is considered to be a prevailing party. (Cal. Civ. Proc. Code § 1032(a)(4).) Here, the

judgment was entered in favor of Defendants and against Plaintiff. Thus, neither Plaintiff nor defendant Lily Bleu, Inc. obtained any relief, making defendant Lily Bleu, Inc. a prevailing party that is entitled to recover its costs. In any case, the Memo of Costs only includes \$1,366.80 in costs on behalf of Lily Bleu, Inc.” (Opp., 8:19-27.) “In any case, Plaintiff fails to identify a single category of costs in Defendants’ cost memorandum that are not recoverable under § 1033.5(a)... Further, despite having no obligation to do so, a spreadsheet with a breakdown of the specific costs, by date and description, is also attached.” (Opp., 9:1-6.)

Plaintiff’s reply papers

state that “Plaintiff does not renew in reply the threshold arguments addressed in Sections III, VI, and IX of the moving papers — ... that Lily Bleu, Inc. may not recover costs as a nominal defendant, or that Corporations Code section 800(d) bars recovery absent a finding that the action lacked reasonable cause.” (Reply, 2:4-7.) However, seemingly in contradiction to Plaintiff’s statement to “not renew” certain arguments in reply, Plaintiff’s reply still contends that “[t]he problem here is [that] Defendants’ invoices and payment records identify multiple clients and payors, while the cost claim is asserted by multiple defendants without a reliable allocation showing which claimant incurred which item. The records themselves show the problem: Walter Weiss invoices are billed to Lily Bleu alone; Richard Weiss invoices identify Michael Weiss and Lily Bleu; Markun Zusman invoices identify Lily Bleu, Michael Weiss, and Cambilargiu; and Defendants say only \$1,366.80 is claimed on Lily Bleu’s own behalf. Section 1033.5(c)(l) eliminates a payment requirement, not the requirement that a cost be incurred on behalf of the party seeking it. A supported allocation is therefore required.” (Reply, 4:6-14.) Plaintiff’s statement only identifies Lily Bleu and Defendants as the multiple clients. Both the reply and moving papers do not provide legal support that Defendants cannot recover these costs and that the fees paid by Lily Bleu should be stricken.

Regardless of who paid, Defendants incurred the fees. The Court also finds that Plaintiff did not demonstrate that Corporations Code section 800, subdivision (d) bars Defendants from obtaining fees.

Next, Plaintiff’s reply

also challenges costs that Defendants seek for “at least two categories that are not automatically recoverable under section 1033.5(a).”

(Reply, 8:25-26.) First, Plaintiff challenges, for the first time, that Defendants request for “[l]ocal travel, rideshare, and parking ... [i]f recoverable at all,

it is discretionary under section 1033.5(c)(4), and Defendants have made no showing that these expenses were reasonably necessary rather than merely convenient.” (Reply, 9:1-5.) The Court notes that although Defendants did not provide an extensive cost breakdown in their memorandum of costs, the “other” section explicitly stated that some of the costs were for “Parking/Travel Reimbursement.” (Memo. of Costs, p. 1, ¶ 15.) The Court recognizes that Plaintiff was not privy to the full cost breakdown when making the instant motion; however, Plaintiff was on notice of Defendants’ request for parking and travel but chose not to challenge the costs on this basis. Rather, Plaintiff only challenged it for being “improperly bundle[d].” (Mot., 10:9.) Given the general rule that “[p]oints raised for the first time in a reply brief will ordinarily not be considered, because such consideration would deprive the respondent of an opportunity to counter the argument” (American Drug Stores, Inc. v. Stroh (1992) 10 Cal.App.4th 1446, 1453), the Court declines to consider Plaintiff’s argument regarding travel and parking costs.

For the second non-enumerated category, “[c]ourier and document-retrieval charges,” Plaintiff asserts that “[e]xhibit 2 claims FedEx reimbursements and document-retrieval charges totaling \$365.34. Such charges are not among the enumerated categories in section 1033.5(a). At most they are discretionary under section 1033.5(c)(4), and Defendants make no item-specific showing that they were reasonably necessary to the conduct of the litigation.” (Reply, 9:6-20.) The memorandum of costs did not put Plaintiff on notice to the courier and document-retrieval charges, so the Court will exercise discretion to consider Plaintiff’s argument. Defendants’ opposition does not discuss the recoverability of the foregoing expenses. Because these costs are not explicitly recoverable, Defendants carry the burden to demonstrate the costs were “reasonably necessary.” (See *Rozanova v. Uribe* (2021) 68 Cal.App.5th 392, 399 [“Where costs are not expressly allowed by the statute, the burden is on the party claiming the costs to show that the charges were reasonable and necessary.”]) Defendants’ failure to address the necessity of costs not expressly allowed under Code of Civil Procedure section 1033.5 warrants taxing the \$365.34 in courier and document-retrieval charges.

C.
The

Section 998 Offers

Plaintiff's final

overarching argument is that "[t]he §998 offers are not merely defective- they are void on their face. Code of Civil Procedure section 998 operates as a cost-shifting mechanism and is therefore strictly construed." (Mot., 6:25-26.) Plaintiff asserts that the Code of Civil Procedure section 998 offers are invalid, and "[a]bsent a valid § 998 offer: (i) expert witness fees are not recoverable; and (ii) attorney's fees cannot be recovered as costs." (Mot., 9:2-3.)

Under Code of Civil Procedure section 998, subdivision (b), "any party may serve an offer in writing upon any other party to the action to allow judgment to be taken or an award to be entered in accordance with the terms and conditions stated at that time. The written offer shall include a statement of the offer, containing the terms and conditions of the judgment or award, and a provision that allows the accepting party to indicate acceptance of the offer by signing a statement that the offer is accepted." "If the offer is accepted, the offer with proof of acceptance shall be filed and the clerk or the judge shall enter judgment accordingly." (Code Civ. Proc., § 998, subd. (b)(1).) However, "[i]f an offer made by a defendant is not accepted and the plaintiff fails to obtain a more favorable judgment or award, the plaintiff shall not recover their postoffer costs and shall pay the defendant's costs from the time of the offer. In addition, ... the court or arbitrator, in its discretion, may require the plaintiff to pay a reasonable sum to cover postoffer costs of the services of expert witnesses, who are not regular employees of any party, actually incurred and reasonably necessary in either, or both, preparation for trial or arbitration, or during trial or arbitration, of the case by the defendant." (Code Civ. Proc., § 998, subd. (c)(1).)

Plaintiff contends that the

offers are invalid because the offers were made without authority, since "[b]oth purported § 998 offers were signed by Richard Weiss as: 'Attorney for Plaintiff.' (Wengrod Decl., ¶ 6; Exs. C- D.) Richard Weiss was never Plaintiff's counsel and had no authority to act on Plaintiff's behalf. (Wengrod Decl., ¶¶ 6-10; Exs. C- D.) To the contrary, he was aligned with Defendants and served as corporate counsel for Lily Bleu during the litigation. An offer made by a person with no authority to bind the offering party is invalid. Under the strict construction required by § 998, this defect alone renders both offers void and

unenforceable.” (Mot., 7:7-14.)

Moreover, Plaintiff

contends that “[t]he Cambilargiu offer contains a separate and independently fatal defect: it simultaneously states that: (i) each party shall bear its own costs and fees; and (ii) costs and attorney’s fees are included under Code of Civil Procedure section 1032. (Ex. C.) These provisions are directly contradictory. A § 998 offer must be sufficiently certain and unambiguous to allow the offeree to evaluate its consequences.” (Mot., 7:26-8:4.)

Finally, Plaintiff asserts

that “[t]he purported offers identify Plaintiff as both: (i) the offering party; and the accepting ‘defendant.’ (Wengrod Decl., ¶ 7; Exs. C- D.) This is not a technical defect—it eliminates mutual assent entirely. A party cannot make an offer to itself or accept its own offer. An offer that fails to clearly identify the parties or establish mutual assent is invalid.” (Mot., 7:16-22.) Plaintiff provides a declaration where he attaches copies of the offers to compromise, and attests that “I never retained Richard Weiss as my attorney at any time in this action” (Wengrod Decl., ¶ 8); “I never authorized Richard Weiss to make any offer, settlement, or proposal on my behalf or in my name” (Wengrod Decl., ¶ 9); and “The § 998 offers attached as Exhibits C and D identify me as both the offering party and the accepting ‘defendant.’” (Wengrod Decl., ¶ 10.)

In opposition, Defendants

explain that “each Defendant served Plaintiff with §

998 offers on September 28, 2022.” (Opp., 3:25.) Defendants cite *Zavala v. Hyundai Motor America* (2024) 107 Cal.App.5th 458, 468, where the court expressed, “[t]o be

valid, statutory compromise offers must be clear and specific, both from the perspective of the offeree and the perspective of the trial court. [F]rom the perspective of the offeree, the offer must be sufficiently specific to permit the recipient meaningfully to evaluate it and make a reasoned decision whether to accept it, or reject it and bear the risk [that the offeree] may have to shoulder [the] opponent’s litigation costs and expenses. [Citation.] Thus, the offeree must be able to clearly evaluate the worth of the extended offer. Further, keeping in mind the eventual need for the trial court to decide whether cost shifting has been triggered, the offer must be sufficiently certain and capable of valuation to allow the court to determine whether the judgment is more favorable than the offer.” (Internal quotations and citations omitted.)

Defendants first assert

that “Plaintiff contends that Defendants’ § 998 offers are facially void because, according to Plaintiff, he cannot discern who is making the offer or the terms of the offer. If this argument were serious, Plaintiff would have claimed as much in his declaration, but he did not. Evidently, even Plaintiff does not honestly believe his own argument.” (Opp., 4:1-5.)

Defendants next contend

that “Plaintiff’s argument focuses on what could be characterized as typographical errors, and not terms of an offer that are so vague that neither Plaintiff nor his counsel could meaningfully evaluate it. First, Plaintiff points to the fact that Defendants’ counsel at the time, Richard Weiss, mistakenly identified himself as the ‘Attorney for Plaintiff’ in the judicial council form that conveyed Defendants’ § 998 offers. Plaintiff’s declaration clarifies that Richard Weiss was never Plaintiff’s counsel, as if the matter was ever in doubt. It is obvious that Richard Weiss was not Plaintiff’s counsel. The offers here [sic] conveyed from Richard Weiss, Defendants’ counsel of record at the time, to Richard Kolber, Plaintiff’s counsel of record at the time. (Wengrod Decl., Exhibits C and D.) The notion that Richard Weiss—who everyone understood to be Defendants’ counsel—was conveying an offer on Plaintiff’s behalf, to Plaintiff’s counsel of record, defies logic. Plaintiff does not state in his declaration that he had any confusion about who his own attorney was at the time. It is obvious who his attorney was, and it is obvious that Richard Weiss was conveying an offer on behalf of Defendants.” (Opp., 4:22-5, emphasis omitted.)

Further, Defendants assert that

“Plaintiff argues that the judicial council form identifies Plaintiff as the offeree, which, according to Plaintiff, is not a mere ‘technical defect.’ However, Plaintiff’s argument is belied by the following points of context: (a) the offers were conveyed by Richard Weiss, Defendants’ counsel of record at the time, (b) the terms of the offer stated that judgment was to be entered in favor of Plaintiff and against Defendant, (c) that Plaintiff would obtain judgment against each Defendant for about \$150,000, and (d) a signature line for Plaintiff’s counsel, Richard Kolber, is under the heading ‘ACCEPTANCE OF OFFER.’ (Wengrod Decl., Exh. C and D.) Indeed, it appears that the judicial council form CIV-090 contemplated the scenario of a § 998 being offered by a plaintiff to a defendant. But the context in which these offers were prepared and conveyed makes it abundantly clear that they were offers being conveyed by Defendants to Plaintiff. There is simply no

other way to interpret them.” (Opp., 5:6-15, emphasis in original.)

Defendants next assert that

“neither Plaintiff nor his former counsel submitted a declaration claiming they were confused in any respect. Further, Plaintiff’s prior counsel had ample opportunity to respond to Richard Weiss’s office to seek clarification if there was, in fact, any confusion on his part. Plaintiff offers no indication that he ever attempted to seek clarification. Indeed, the terms of the offers are abundantly clear—Defendants offered to pay a sum of money (about \$150,000 each), in exchange for a judgment being entered in Plaintiff’s favor. It is evident that Plaintiff had all of the information needed to ‘meaningfully evaluate’ the terms of the offer—these were not complex offers.” (Opp., 5:16-22.)

Defendants contend, “[a]s for

the argument that Ms. Cambilargiu’s offer is ‘fatally defective’ for having an internal inconsistency, it is fairly obvious what was being offered.

Presumably, the box stating ‘including costs...and attorney’s fees’ was checked by mistake. As discussed, if Plaintiff or his counsel were confused, they could have easily contacted Richard Weiss’s office for clarification. In any case, the offer from Michael Weiss does not have the same purported inconsistency. Consequently, Michael Weiss should recover all of the expert witness fees, even if Ms. Cambilargiu cannot.” (Opp., 5:23-28.)

Plaintiff’s reply papers additionally

assert that “[t]he California Supreme Court has now adopted the two-part certainty test for section 998 offers: the terms must permit the offeree to make a reasoned evaluation and must permit the court later to determine the value and effect of the offer. The Court further reaffirmed that, on a motion to tax costs, the offeror bears the burden of proving that the offer was sufficiently certain or specific.” (Reply, 6:27-7:3.)

First, the Court finds that

the offer sent to Plaintiff from Defendant Barbara Clark Cambilargiu is inadequate. Although Defendants purport that Plaintiff could have contacted defense counsel and should have inferred that Defendants were not offering to cover Plaintiff’s attorney fees and costs, this does not resolve the clear contradiction on the face of the offer. Plaintiff could have contacted Defendants to inquire about what relief Defendant Barbara

Clark Cambilargiu was actually offering; however, even if Plaintiff chose to do so, the offer does not satisfy the requirements under Code of Civil Procedure section 998. Specifically, the statute requires that "[t]he written offer shall include a statement of the offer, containing the terms and conditions of the judgment or award." (Code Civ. Proc., § 998, subd. (b).) Defendants' failure to clarify whether the offer covered Plaintiff's attorney fees and costs does not adequately "contain[] the terms and conditions of the judgment," as required by the statute. Based on the foregoing, Defendant Barbara Clark Cambilargiu's section 998 offer cannot serve as an avenue for Defendants to recover expert fees.

Next, as a preliminary matter, the Court notes that the Judicial Council Form, form CIV-090, used by Defendant Michael Weiss appears to be the only form available for a section 998 settlement offer. The Court did not find, and the parties did not offer, evidence of other available forms. This form uses party language that contemplates only a plaintiff extending a section 998 offer, rather than a defendant. However, case law appears to discuss this form from a party-neutral standpoint, making it reasonable to conclude that the form is available to both plaintiffs and defendants, despite the form's party-specific language. (See e.g., *Rouland v. Pacific Specialty Ins. Co.* (2013) 220 Cal.App.4th 280, 287 ["the California Judicial Council has approved a form entitled 'Offer to Compromise and Acceptance Under Code of Civil Procedure Section 998[.]' ... In a single document, that form allows one side to make a settlement offer under section 998 and the other side to accept the offer. The acceptance section merely states the party 'accepts the offer for the judgment stated in [the form]' and provides a space for the accepting party or its counsel to sign and date the acceptance."], emphasis added.)

Next, the Court finds that Defendant Michael Weiss' section 998 offer appears to meet the statutory requirements. Code of Civil Procedure section 998, subdivision (b), only requires that "[t]he written offer shall include a statement of the offer, containing the terms and conditions of the judgment or award, and a provision that allows the accepting party to indicate acceptance of the offer by signing a statement that the offer is accepted." Looking at the section 998 offer attached as Exhibit D to Plaintiff's declaration, Defendant Michael Weiss' offer provides that judgment would be entered in favor of Kenneth Wengrod, against Michael Weiss, for the amount of \$151,775.35, and each party would bear its own costs

and fees. (Wengrod Decl., Ex. D, p. 1.) Under the title "Acceptance of Offer," the offer also includes Plaintiff's name, Plaintiff's former counsel's name, and a blank signature line. (Ibid.) Thus, Michael Weiss' section 998 offer appears to comply with the statute's requirements.

Regarding cost-shifting

under the statute, and as noted by Plaintiff, the Supreme Court in *Gorobets v. Jaguar Land Rover North America, LLC* (2026) 20 Cal.5th 501, 520 (Gorobets)

established a two-part certainty test. The court expressed that "[a] 998 offer's terms must be sufficiently certain in two ways to trigger cost shifting. First, the terms must enable the offeree to meaningfully 'evaluate it and make a reasoned decision whether to accept it, or reject it and bear the risk he may have to shoulder his opponent's litigation costs and expenses.' [Citation.] Without the ability to judge the concrete value of an offer, the offeree cannot make a practical decision whether to accept it." (Ibid.) "On a motion to strike or tax costs, the burden is on the offeror to prove the offer's terms were sufficiently certain or specific." (Ibid.) Regarding the first part, Plaintiff contends that it is not satisfied because "[o]n the face of each form, the offeror is the Plaintiff. Defendants ask the Court to disregard what the instrument says because everyone knew Richard Weiss represented the Defendants." (Reply, 5:23-25.) Plaintiff conflates the fill-in-the-blank form's mix-up of "Plaintiff" and "Defendant" to a fatal error. However, the rule outlined in *Gorobets* does not support the contention that form should be prioritized over substance. The rule requires that the offeree be able to meaningfully determine what the offer provides and whether to accept or reject it. As noted above, Defendants explain how, even with the terminology mix-up, the offer was reasonably specific and adequately apprised Plaintiff of what Defendant Michael Weiss was offering. Defendants demonstrate the certainty of Michael Weiss' offer. Plaintiff does not provide evidence to rebut this. There is no evidence that Plaintiff reached out to Defendants to clarify the terms of the offer, nor does Plaintiff's declaration in support of the instant motion explain that Plaintiff could not determine from whom and to whom the offer was made. Additionally, Plaintiff should have been aware that the offer came from Defendants' counsel and that Plaintiff was represented by the counsel listed in the blank acceptance section. These details indicate that Plaintiff should have understood the nature of the offer and been able to identify the identity of the offeror and offeree. Since Plaintiff does not demonstrate that he was incapable of evaluating the offer, the Court rejects this argument.

The second part of the certainty test provides, as follows: "Second, the terms presented must allow a court to subsequently determine whether the secured judgment or award is more favorable than the offer. The availability of the cost-shifting penalty depends on whether the offeree failed to exceed the terms it rejected. [Citation.] Thus, in deciding whether to impose the penalty, the court must be able to place a fair value on the rejected offer. If a settlement offer contains terms that make it exceedingly difficult or impossible to determine the value of the offer[,] ... a court should not undertake extraordinary efforts to attempt to determine whether the judgment is more favorable to the plaintiff. Instead, the court should conclude that the offer is not sufficiently specific or certain to determine its value and deny cost shifting under ... section 998." (Gorobets, supra, 20 Cal.5th at p. 520, internal quotations omitted.) The second part of the test focuses on the Court's ability to ascertain whether the rejected 998 offer is more or less than what Plaintiff recovered at trial. Given that judgment was not entered in favor of Plaintiff, Michael Weiss' 998 offer clearly exceeds the judgment Plaintiff obtained at trial. The Court also finds that the party-language mix-up does not make the offer uncertain or require "extraordinary efforts." On its face, the offer clearly demonstrates an adverse verdict entered against Michael Weiss, with a clear award, and a designated area with Plaintiff's name and space for Plaintiff to sign. In light of the foregoing, the Court finds that Michael Weiss' section 998 offer satisfies the two-part certainty test from Gorobets. Thus, Defendant Michael Weiss may recover expert fees under the statute.

The foregoing demonstrates that Defendant Barbara Clark Cambilargiu cannot recover expert fees, whereas Defendant Michael Weiss may. However, these Defendants jointly obtained a favorable verdict, with the same counsel, by utilizing the same experts. As such, Defendants contend that "Michael Weiss should recover all of the expert witness fees, even if Ms. Cambilargiu cannot." (Opp., 5:27-28.) Plaintiff directly responds to Defendants' request, asserting that it "does not follow. The experts identified in Exhibit 2 - Compound Consulting, Ronald Garber, Marcum LLP, CBIZ, and Jay Mangel - were retained for a joint defense, and nothing in Exhibit 2 allocates any portion of the \$79,287.22 between Michael Weiss and Barbara Cambilargiu. Having conceded that one of the two offers may fail, Defendants bear the burden of establishing what portion of the expert cost is attributable to the surviving offer. They have submitted no evidence from which that allocation could be made." (Reply,

7:12-18.) However, neither party provides the Court with legal basis supporting their respective assertions.

The Court notes that *Litt v. Eisenhower Medical Center* (2015) 237 Cal.App.4th 1217 is instructive. In *Litt*, “[p]rior to trial, defendant Eisenhower Medical

Center (EMC) served on plaintiff David Litt a \$15,000 settlement offer under Code of Civil Procedure section 998, which Litt did

not accept. Litt subsequently added Compass Group USA, Inc. (Compass) as a defendant in the suit. Compass did not serve a section

998 offer on Litt. A jury returned a verdict for Litt and against defendants jointly and severally for \$3,000.” (Id.

at p. 1219.) “After trial, EMC and Compass jointly requested costs and

expert fees and Litt requested costs. The court found that Litt was the prevailing party as to Compass and EMC was the prevailing party as to Litt, but

declined to award EMC its post-section 998 offer

expert fees that were incurred and/or paid by Compass pursuant to an indemnity agreement between them.” (Ibid.) EMC and

Compass argued to the appellate court, inter alia, that the trial court “should have awarded EMC its post-section 998 offer expert

fees paid by Compass.” (Ibid.) The Court of

Appeal concluded that the trial court “erred in denying EMC recovery of expert witness fees that were paid by Compass.” (Ibid.)

In making this decision, the court explained that “section

998 expert witness fees need not be ‘personally incurred’ by the party seeking them to be recoverable.” (Id. at p. 1223.)

Although *Litt*, *supra*, is not identical to the instant

case, the Court finds that it demonstrates that Defendant Michael Weiss should still be entitled to expert fees, regardless of Defendant Barbara Clark

Cambilargiu’s inability to recover. The expert fees contained within the cost memorandum, whether directly incurred by Defendant Michael Weiss or Defendant Barbara

Clark Cambilargiu, supported the favorable verdict. (See *Litt v. Eisenhower Medical Center*, *supra*, 237

Cal.App.4th at p. 1222 [“Under the [section 998] code’s cost-shifting

provisions, there is ‘no requirement that a party claiming costs must have

personally incurred the obligations enumerated in the memorandum.”].) Because

these fees were actually incurred and Defendant Michael Weiss sent Plaintiff a valid section 998 offer, the Court awards expert

fees to Defendant Michael Weiss.

Lastly, Plaintiff's reply

papers correctly assert that only postoffer costs of expert witnesses are allowed under Code of Civil Procedure section 998, subdivision (c)(1). Plaintiff identifies a total of \$8,500.00 in expert fees, from January 20, 2022 and July 15, 2022, that Michael Weiss incurred before he made his section 998 settlement offer on September 28, 2022. Given that the statute only allows for "postoffer costs of the services of expert witnesses" (Code Civ. Proc., § 998, subd. (c)(1)), the Court strikes \$8,500 of the claimed \$79,287.22 in expert fees.

Conclusion

Based on the foregoing, Plaintiff's motion to tax costs is GRANTED IN PART. The Court taxes Defendants' total requested costs of \$107,981.74 by \$8,865.34. The Court awards costs in the total amount of \$99,116.40. This comprises of costs for expert fees, totaling \$70,421.88, awarded to Defendant Michael Weiss only. The remaining \$28,694.52 in costs is jointly awarded to Defendants.

Plaintiff is ordered to provide notice of this Order.¿

DATED: September 22, 2026

Hon. Teresa A.
Beaudet

Judge, Los
Angeles Superior Court